From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: GLOBAL MARKETS CALL: Government Bond Yields Ease, Gold Falls
Date: 43 minutes ago

GLOBAL MARKETS CALL: Government Bond Yields Ease, Gold Falls

YARDENI QUICKTAKES

GLOBAL MARKETS CALL: Government Bond Yields Ease, Gold Falls

By Ed Yardeni & Toby Hearst • 1 Nov 2026

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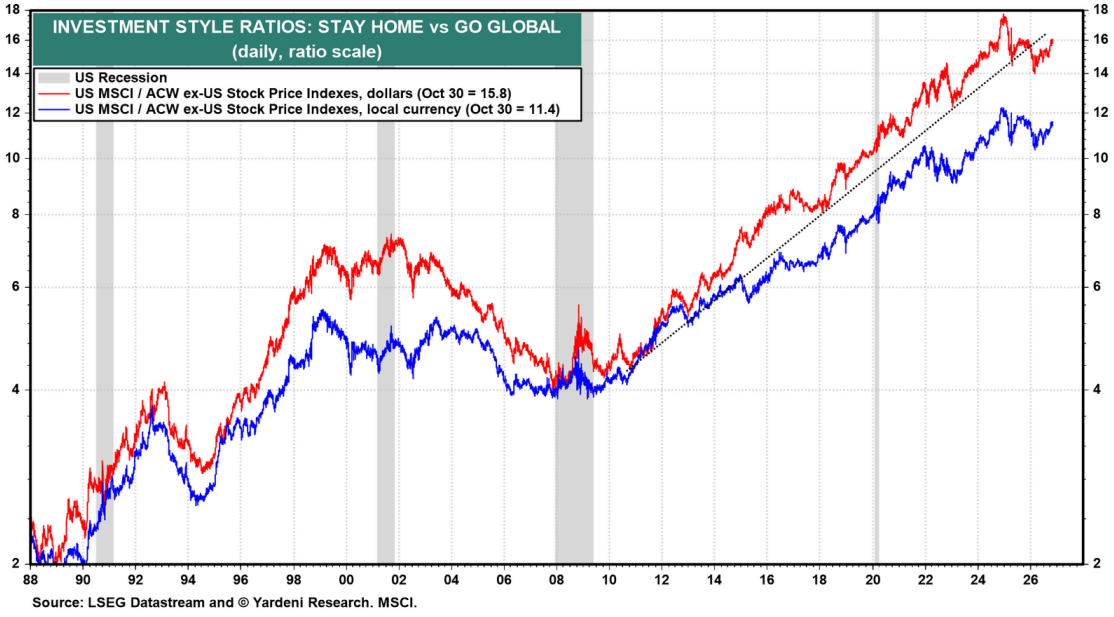
Photo by Gaël Gaborel - OrbisTerrae / Unsplash

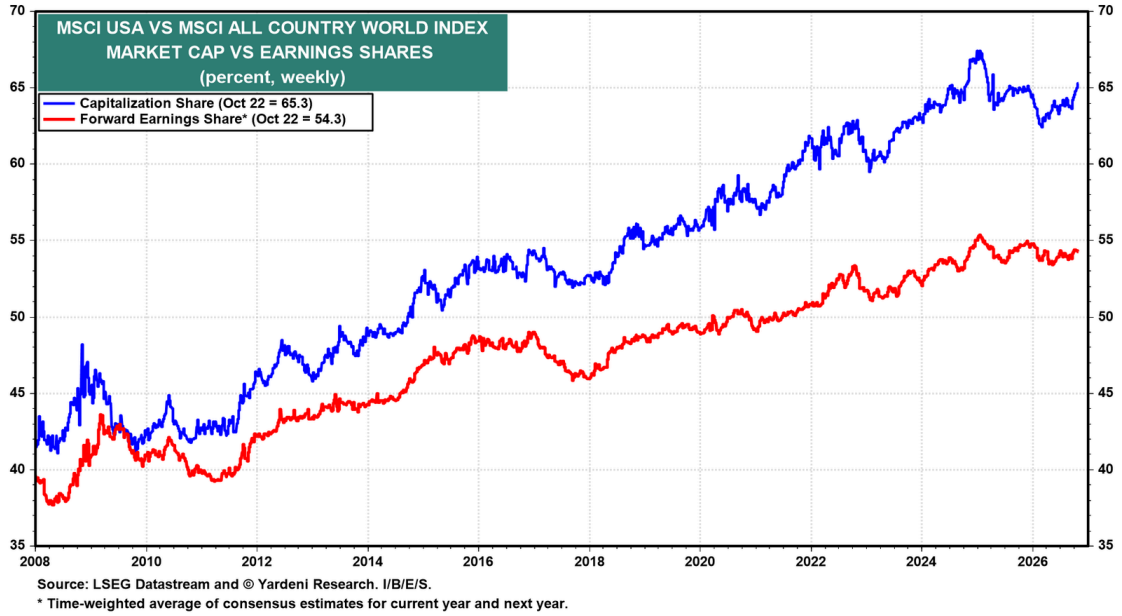
Investors sought safety in government bonds last week as the AI selloff rattled stock markets worldwide. Yields eased across most of the major bond markets. The stock market selloff has been hardest on the markets that soared the most this year. October is ending with the US well ahead of the rest of the world. That validates our recent shift to market weight on the Go Global portfolio strategy. Here's more:

I. Stock Market Performance

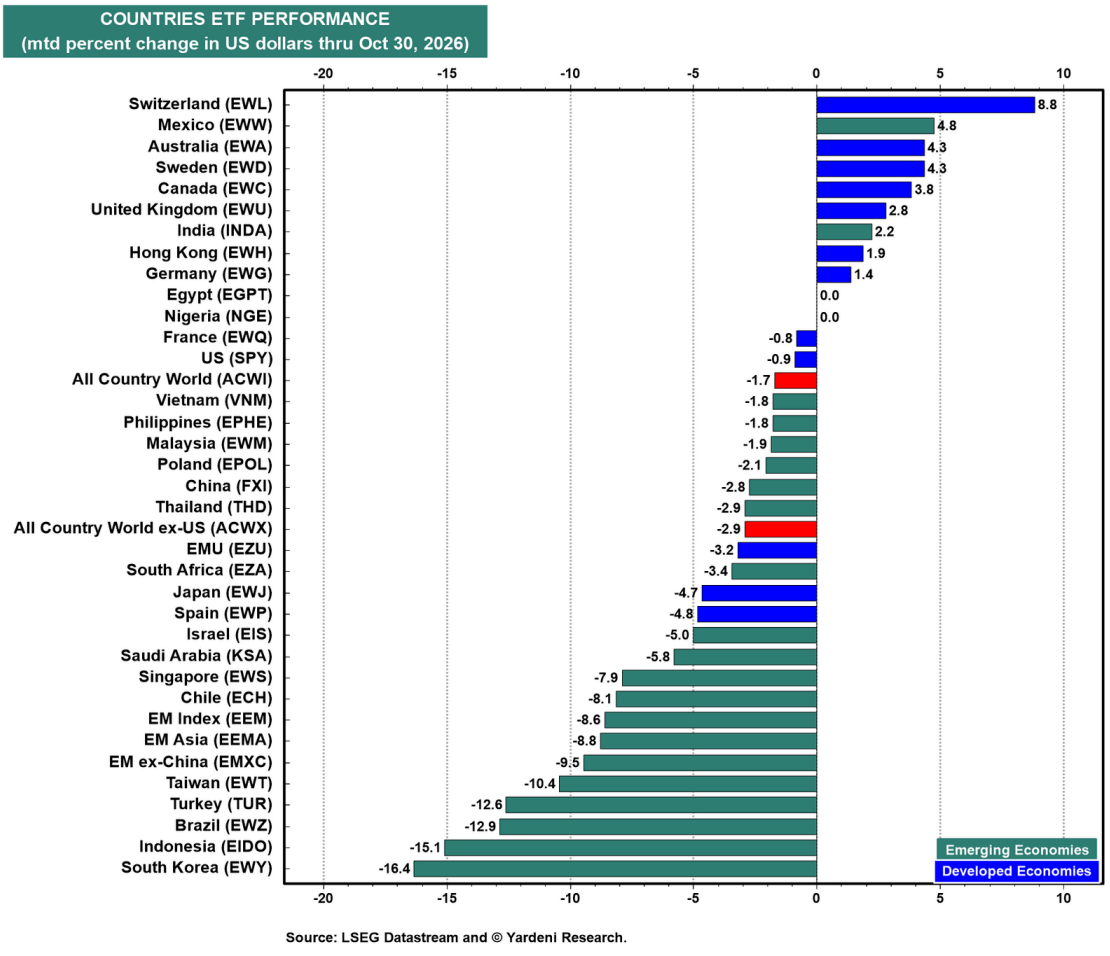
The Stay Home vs Go Global ratios have rebounded sharply since mid-year, driven by US outperformance (chart). They remain below their early 2025 peaks but are heading back up.



The US MSCI's share of the All Country World MSCI's market cap has risen back to 65.3% (chart). Its share of forward earnings is 54.3%. That 11-point gap is the widest since January 2025. US stocks again are pricing in far more than their share of global earnings.

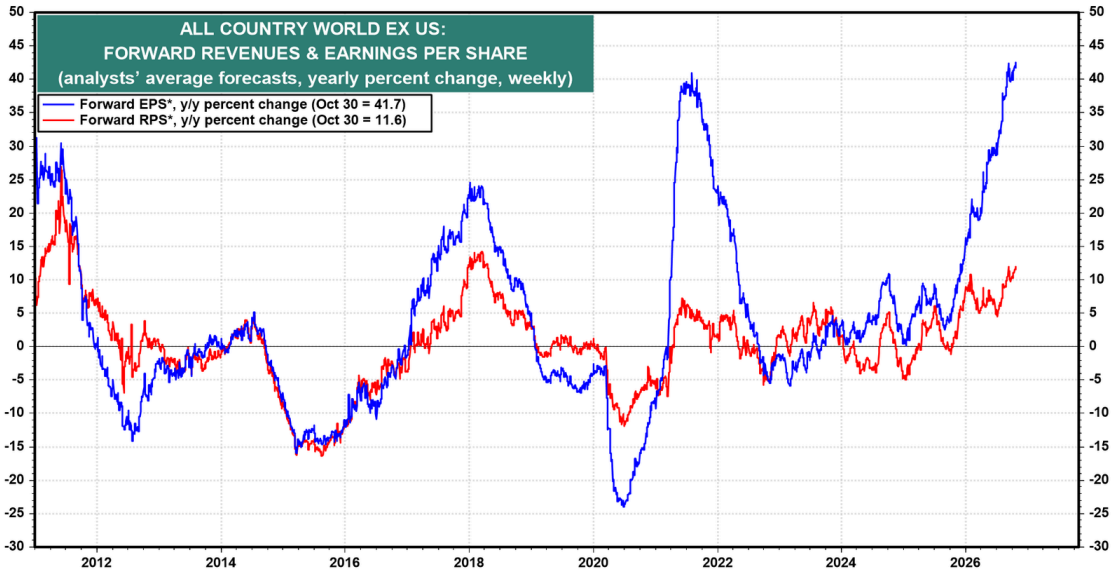


October's biggest losers were this year's AI winners. South Korea finished the month at the bottom of the country ETF rankings, down 16.4% in dollars (chart). Taiwan fell 10.4%. Switzerland topped the board with an 8.8% gain, followed by Mexico (4.8%). The US slipped 0.9%, while the All Country World ex-US ETF fell 2.9%.

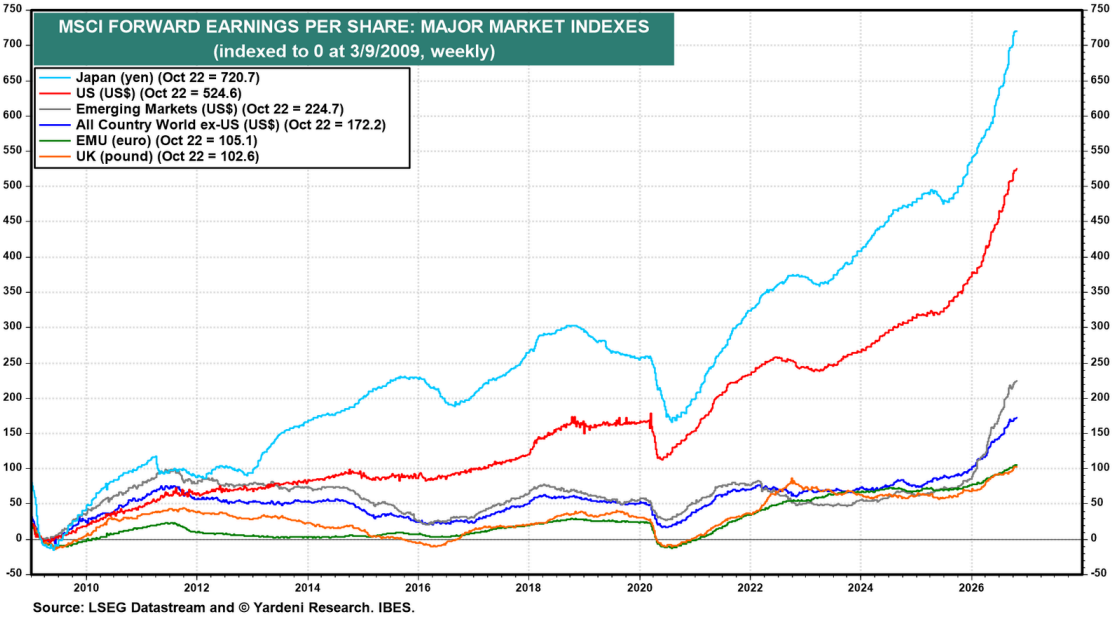


II. Stock Markets Earnings & Valuation

Overseas forward earnings momentum is the strongest in over 15 years. Forward earnings for the All Country World ex-US MSCI is up 41.7% y/y, topping its 2021 post-pandemic peak (chart). Forward revenues is up 11.6% y/y. Earnings outpacing revenues by that much implies forward profit margins are widening significantly.

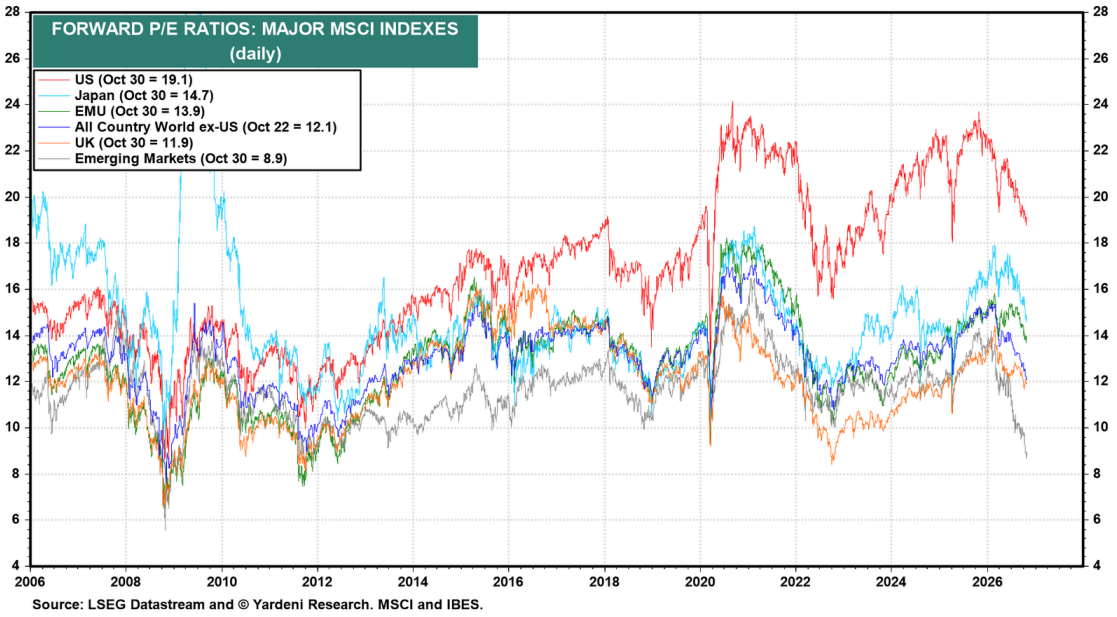


Japan leads the major markets in forward earnings growth since early 2009 (chart). Its forward earnings has risen 720.7% in yen. The US is up 524.6%. EM forward earnings has surged this year and is now up 224.7% over the same period. The EMU and the UK have barely doubled.



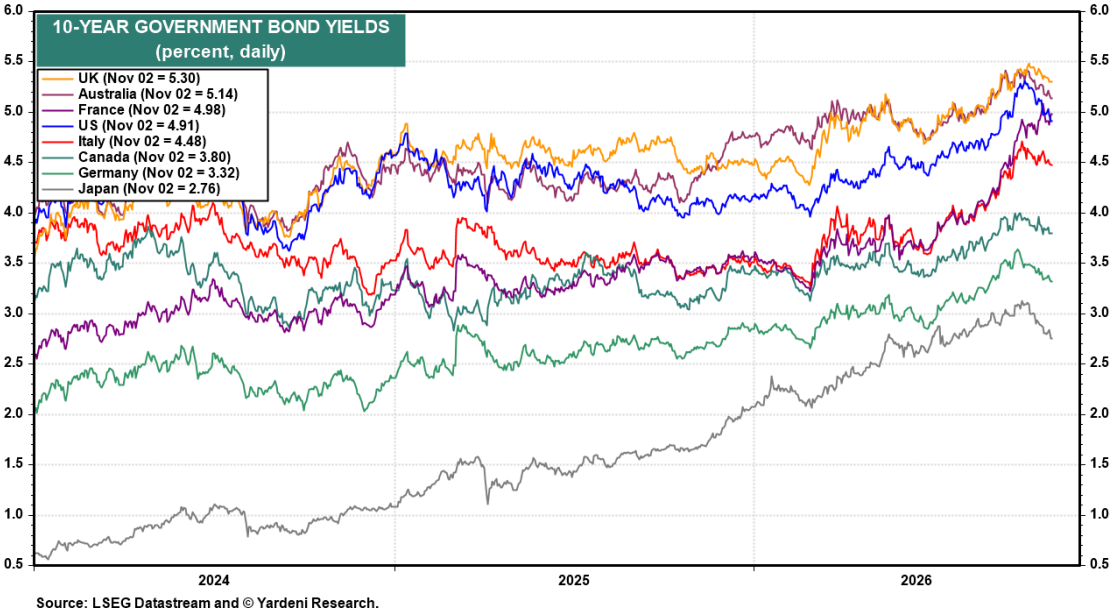
Valuation multiples are falling even as earnings soar (chart). The US MSCI's forward P/E has dropped to 19.1 from 23.7 a year ago. Japan's is

14.7, and the EMU's is 13.9. The UK trades at 11.9. EM trades at 8.9, its lowest since the 2008 financial crisis.



III. Fixed Income

Government bond yields eased last week in most major markets in response to the AI selloff (chart). The US 10-year Treasury yield has fallen to 4.91% from 5.00% a week earlier. France's 10-year government bond yield has eased to 4.98%. The UK's 5.30% and Australia's 5.14% remain the highest in the group. Japan's yield has dropped to 2.76%.



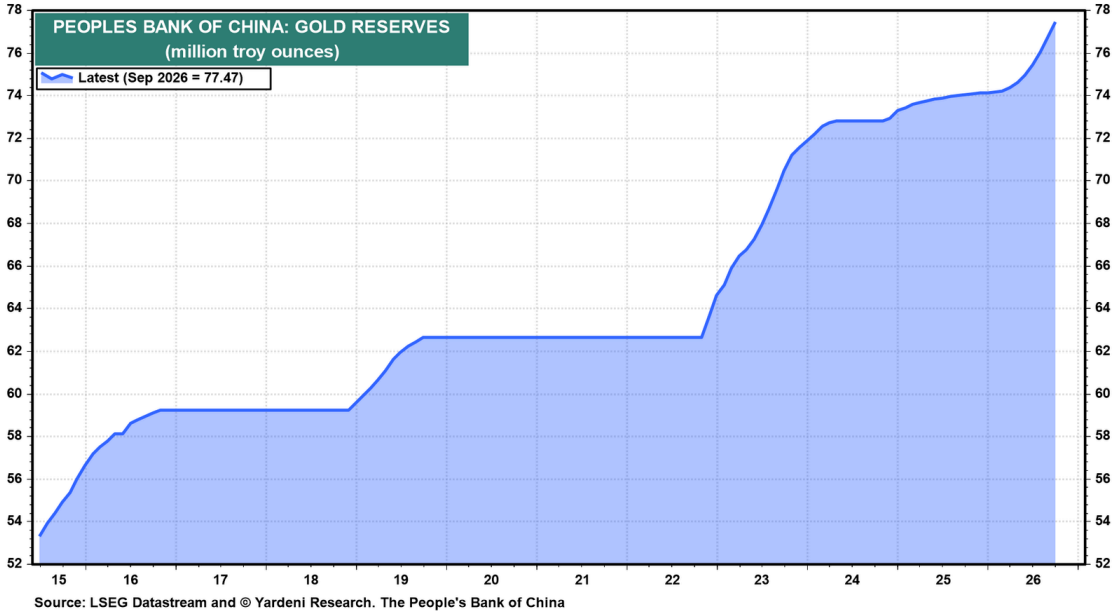
IV. Gold

We've been bullish on the gold price since it jumped to a new record high above $2,000 per ounce in early 2024. We reckoned that buying by the

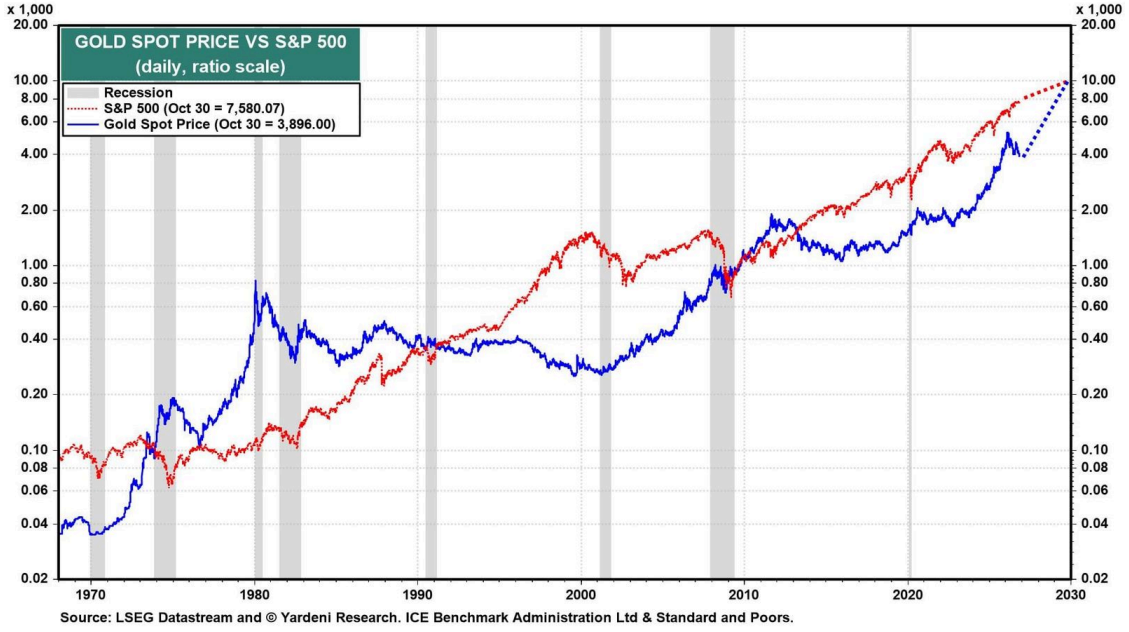
central banks of countries that feared the US and Europe might freeze their forex reserves, as happened to Russia after it invaded Ukraine, which would be bullish for gold. That was true until the war started in the Middle East on February 28, 2026 (chart).

We aren't sure why gold hasn't bounced off of its key support levels. Instead, it dropped back below $4,000 last week. The next support is around $3,400. Rising interest rates may explain why gold has been so weak if central bank buying is being swamped by selling from private investors.

The People's Bank of China is still buying gold (chart). Chinese investors have lost lots of money in their property and stock markets. Now, they may be bailing out of gold.

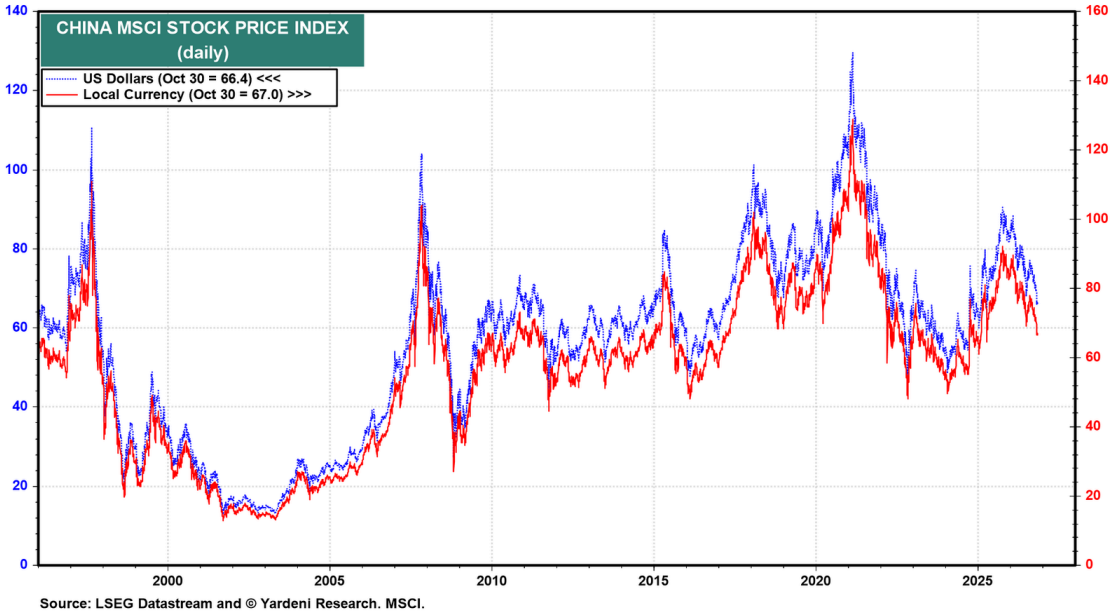


Is there still a case for gold to reach a price of $10,000 per ounce by the end of the decade? Yes, but the case is getting weaker. If the S&P 500 reaches 10,000 by the end of the decade, investors might rebalance their portfolios by allocating more to gold (chart).

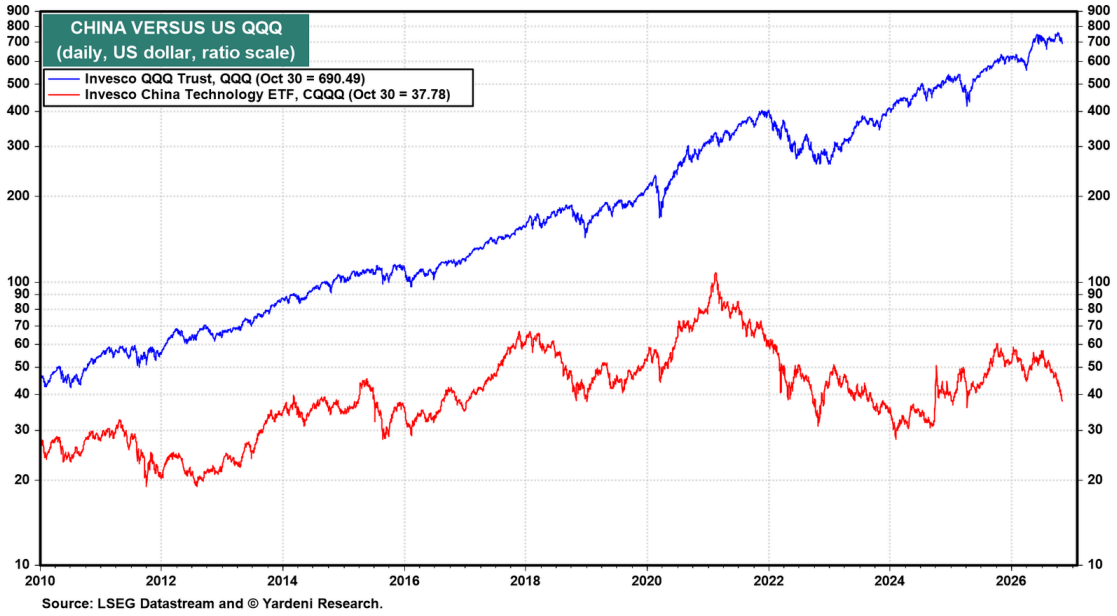


V. Focus On China & Brazil

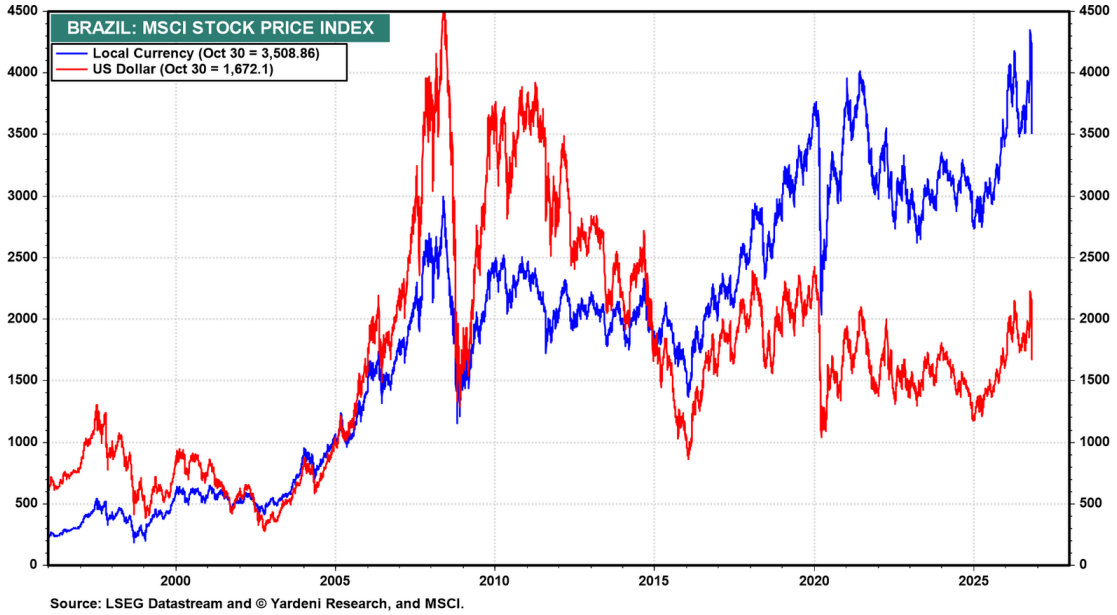
China's MSCI stock price index has fallen to 66.4 in dollars, down from 92.0 at its 2025 high (chart). The property bust and deflation continue to weigh on the market. So does the rapidly aging population.



Chinese tech has missed the AI boom entirely (chart). The China Technology ETF (CQQQ) has fallen to 37.78, 65.2% below its February 2021 record high. The Nasdaq-100 ETF (QQQ) is 9.5% below its record high. We continue to favor EM ex-China over China.



In Brazil, President Luiz Inácio Lula da Silva won the October 25 runoff with nearly 52% of valid votes after trailing Senator Flávio Bolsonaro in the first round. Investors had positioned for a Bolsonaro win, and Bolsonaro says he will challenge the result in court. The Brazil MSCI stock price index fell to 3,508.86 in local currency, giving back most of its post-first-round gains (chart). It is now up just 1.0% ytd in local currency and 2.2% in dollars.



💡

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Subject: Weekly Roundup - November 1st
Date: 4 hours ago

Weekly Roundup - November 1st

YARDENI QUICKTAKES

Weekly Roundup - November 1st

By Ed Yardeni • 1 Nov 2026

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Thank you for being a valued member of Yardeni QuickTakes. Here's a recap of the insightful articles, webinars, and market analyses you enjoyed this week:

ECONOMIC WEEK AHEAD: November 2-6

The S&P 500 fell 0.6% last week, and the Nasdaq dropped 2.0%, both posting their third straight week of losses, as disa…

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US MARKET CALL: AI Spooking Investors

I. Stock Market Performance Happy Halloween! Kids are enjoying the spooky cultural holiday today. The celebration evol…

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US Economy Continues To Roar, While The Fed Waits For More

The FOMC voted 10-2 on Wednesday to hold the federal funds rate at 3.75%-4.00%, with the two dissenters favoring a 25bp…

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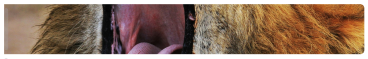

AI Jitters Continue While Fed Pauses Hiking Rates

I. The AI Boom Versus The AI Trade AI jitters will be back tomorrow after taking a breather so far this week, as encou…

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WEEKLY WEBCAST: Possible Bad News & Good Buying Opportunities Ahead

When we lowered S&P 500 year-end target a month ago, it had nothing to do with the market's fundamental underpinnings. …

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Industrials: AI Jitters Versus Booming Orders

I. AI Still Boosting Capital Goods Orders The AI investment boom has been a double-edged sword for S&P 500 Industrials…

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Is AI Useless?

I. AI's Toxic Financial Trifecta Recent AI jitters have been fueled by a potentially toxic trifecta of financial const…

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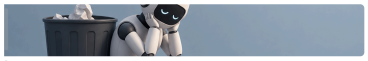

US SECTORS CALL: Communication Services, Materials & Energy

Investors spent the week worrying about an AI bubble. The S&P 500 slipped by 0.5%, led by a 6.2% drop in Communication …

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GLOBAL MARKETS CALL: Bond Yields Ease

Bond yields eased in most major markets last week, but France was the glaring exception. In stocks, the global AI sello…

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From: 陸行之 Andrew Lu on global semis and techs <andrewhclu@substack.com>
Subject: Who can be benefited if neocloud has no cash to invest?
Date: 37 minutes ago

Who can be benefited if neocloud has no cash to invest?

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Who can be benefited if neocloud has no cash to invest?

當投資人擔心新興雲因淨負債惡化沒錢加碼資本開支跟上軍備競賽而下調半導體產業鏈預期，但持有龐大AI數據算力中心的舊雲應該反而會受惠

ANDREW LU ON GLOBAL SEMI/TECHS
NOV 1 • PAID

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Executive summary

之前曾多次提到如果AI 數據算力中心資本開支減速（請參考 May 17, 2026 深度報告：Likely an inflection point if AI data center capital density to reverse down?），AI半導體產業鏈將受到影響而 underperform，所以我們覺得美國費城半導體指數在10月份近15%的回檔，應該也正是在反應市場已經開始擔心AI數據算力中心，尤其是 Neocloud 新興外溢雲，像是 CoreWeave，未來將因缺乏足夠現金流，可能將無法跟上其他算力中心公司的AI數據算力中心資本開支的軍備競賽，但在此同時，大語言模型，真實世界模型，及AI代理人算力需求持續增加，每GW算力租用合約價格調漲有利於能持續加碼投資的AI數據算力中心（請參考：17-21% On-demand AI GPU pricing hike to shift value from LLM companies to cloud vendors）。所以我們的看法是AI數據算力中心資本開支因資金不足被下修，capital density to reverse down，這些雖然對半導體產業鏈不利，但反而對倖存的AI數據算力中心有利，CoreWeave 沒錢加碼投資，也不代表短期會面臨倒閉風險，反而表示其現有的算力及基礎建設更值錢。

3Q26 total sales and cloud sales comparison

歸因於成長引擎雲業務佔比仍低，5大老牌AI數據算力中心3Q26 整體營收季度僅增長1-6%（vs. SpaceXSI’s 87% qoq)，年增僅12-30%（vs. SpaceXSI’s 161% yoy)。這其中還是以谷歌的25%，Meta的26%，甲骨文的30%年增表現較為突出。但光就AI數據中心雲業務營收來分析，還是谷歌的24%季增及103%年增及SpaceXSI的195%季增及830%年增明顯優於同業，谷歌以自研TPU為主來建立其訓練及推理AI數據中心，SpaceXSI 是以Nvidia GPU為主來建立其訓練及推理AI數據中心。

QoQ	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
Google	6%	11%	-3%	9%	6%	12%	-2%	8%	7%	10%
Meta/FB	10%	17%	-6%	8%	6%	15%	-9%	7%	4%	16%
Amazon	7%	18%	-15%	11%	1%	21%	-14%	10%	3%	20%
Microsoft	2%	5%	2%	9%	3%	5%	3%	8%	3%	5%
Oracle	-6%	8%	7%	12%	1%	10%	10%	13%	5%	12%
SpaceXAI	37%	-23%	9%	66%	87%	55%	38%	27%	24%	21%
Coreweave CRWV	13%	15%	32%	24%	37%	31%	10%	13%	14%	15%
YoY										
Google	16%	18%	22%	24%	25%	25%	28%	27%	28%	26%
Meta/FB	26%	24%	33%	31%	26%	24%	20%	19%	17%	18%
Amazon	13%	14%	17%	20%	12%	14%	16%	15%	17%	16%
Microsoft	18%	17%	18%	18%	19%	19%	20%	19%	19%	20%
Oracle	12%	14%	22%	21%	30%	33%	36%	38%	43%	45%
SpaceXAI	#DIV/0!	#DIV/0!	15%	92%	161%	426%	565%	408%	239%	164%

QoQ	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
Google Cloud	11%	17%	13%	24%	24%	17%	13%	16%	15%	12%
AWS/Amazon	7%	8%	6%	12%	9%	7%	7%	12%	9%	7%
Azure/Microsoft	8%	8%	8%	13%	13%	9%	7%	12%	9%	8%
Oracle Cloud	7%	11%	12%	11%	17%	15%	14%	14%	15%	15%
SpaceXAI Cloud				213%	195%	95%	59%	37%	29%	29%
YoY										
Google Cloud	34%	48%	63%	82%	103%	103%	102%	89%	76%	68%
AWS/Amazon	20%	24%	28%	37%	39%	38%	40%	40%	40%	40%
Azure/Microsoft	40%	39%	40%	42%	48%	50%	48%	47%	42%	42%
Oracle Cloud	28%	34%	44%	47%	62%	68%	71%	75%	72%	72%
SpaceXAI Cloud			13%	247%	830%	1702%	2779%	1157%	450%	263%

Source: The companies, Andrew Lu on global semis/techs

付費訂閱戶可分享我們對各大AI數據算力中心的營業利潤率比較表，資本開支的營收及獲利回報率改善，capital density/capex to sales 創高，及 backlog 積壓訂單增長趨緩，及淨負債比率惡化的分析

Subscribed

3Q26 total op margin and cloud op margin comparison

除了SpaceXSI AI算力租賃業務及公司整體的營業利潤率在 3Q26 大幅的轉負為正外，其他AI數據中心大廠皆能維持其雲業務營業利潤率逐步改善，這其中微軟小幅優於同業。歸因於谷歌雲整體營收佔比仍低於30%，外加非核心事業虧損一堆，谷歌短期整體營業利潤率反而逐季惡化，但公司未來透過博通增加TPU及機櫃銷售，外加增加存儲記憶體從三星，SK Hynix, 美光自行採購及直接將自研運算晶片 Compute die 下單給台積電來減少博通稅，我們認為谷歌雲業務 2027-2028 營業利潤率有機會超過40%，增加雲業務比重也會拉升整體營業利潤率。臉書2Q26-3Q26 因一次性罰款影響營業利潤率，這也會在 4Q26 有明顯改善。

	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Cloud OP%						
Google Cloud	24%	30%	33%	36%	36%	32%
AWS/Amazon	35%	35%	38%	39%	39%	36%
Intelligent Cloud/Microsoft	43%	42%	40%	41%	42%	41%
Oracle Cloud	29%	29%	32%	32%	35%	32%
SpaceXAI Cloud	-212%		-302%	-49%	6%	22%
Overall OP%						
Google	31%	32%	36%	34%	32%	34%
Meta	40%	41%	41%	31%	20%	32%
Amazon	10%	12%	13%	14%	14%	13%
Microsoft	49%	47%	46%	45%	48%	47%
Oracle	29%	29%	32%	32%	35%	32%
SpaceXAI	-5%		-41%	-2%	19%	28%

Source: The companies, Andrew Lu on global semis/techs

Capital return on cloud sales and profits improvement

除了 Oracle 的雲業務的 capital return 在3Q26 沒有明顯改善外，谷歌雲業務的資本開支營收回報率從上季度的55%，回升到67%，亞馬遜的AWS，微軟的Azure 也有4個百分點的改善，而SpaceXSI 有近100個百分點的改善。

從各家雲業務的資本開支獲利回報率來看，明顯改善的有SpaceXSI的98個百分點，微軟 Azure 的10個百分點，小幅改善的有谷歌的2個百分點，甲骨文無改善，亞馬遜的AWS 竟然退步的5個百分點，我們歸因於AWS雲業務的季度及年度營收增長明顯低於同業。

Capital density (capex/sales) might peak in 2H26-1H27

即使各大AI數據中心算力中心於2027年將持續加碼資本開支超過30%年增，讓其 capital density 續創新高，但我們重申這次 AI數據算力中心基礎建設投資大週期的 capital density 應該會在 2H26-1H27見到高點。以3Q26 來看，谷歌，Meta, 微軟三家公司其capital density 都季增2-3個百分點，亞馬遜的capital density 季增近10個百分點，甲骨文跟SpaceXSI 都是大幅增加，4Q26 應該會持續創新高。

	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
CSP capex to sales						
Google	23%	24%	32%	38%	40%	46%
Meta/FB	37%	36%	34%	50%	53%	70%
Amazon	19%	19%	24%	27%	38%	18%
Microsoft	25%	37%	37%	40%	43%	51%
Oracle	57%	75%	108%	86%	147%	98%
SpaceXSI	123%	186%	215%	235%	134%	166%

Source: The companies, Andrew Lu on global semis/techs

Backlog growth to slow but remains healthy

除了亞馬遜 AWS 3Q26 的積壓訂單還在明顯加速外，谷歌，微軟，甲骨文的積壓訂單季增，年增都明顯減速，但即使減速，谷歌雲業務目前的積壓訂單仍

高於未來2年營收的31%，微軟積壓訂單高於未來2年營收的72%，甲骨文目前的積壓訂單高於未來4年營收的25%，但因為缺算力，我們不排除部分積壓訂單是因缺算力重複下單造成的。

	3Q25	4Q25	1Q26	2Q26	3Q26
Backlog in US$bn					
Google	158	243	468	520	561
Amazon AWS	200	244	364	496	578
Microsoft	398	631	627	684	683
Oracle	455	523	553	638	664
Total	1,267	1,708	2,111	2,442	2,596
QoQ					
Google	46%	54%	93%	11%	8%
Amazon AWS	3%	22%	49%	36%	17%
Microsoft	6%	59%	-1%	9%	0%
Oracle	230%	15%	6%	15%	4%
Total	50%	35%	24%	16%	6%
YoY					
Google			406%	380%	256%
Amazon AWS			93%	154%	189%
Microsoft			95%	82%	72%
Oracle			324%	363%	46%
Total			178%	189%	105%
Backlog to 2yrs incremental sales					
Google	58%	78%	133%	132%	131%
Amazon AWS	52%	58%	80%	100%	107%
Microsoft	143%	207%	188%	188%	172%
Oracle	436%	438%	404%	407%	375%
Total	118%	143%	160%	167%	162%

Source: Andrew Lu on global semis/techs

Net debt to equity ratio is deteriorating

因為大部分的公司3Q26資本開支超過營運現金流入，幾乎所有的公司淨負債對股東權益比率都季比惡化，目前除了谷歌及SpaceXSI 仍有龐大的現金水位，Meta，亞馬遜，微軟，Nebius 淨負債水位可控，Oracle 及 CoreWeave 淨負債對股東權益比率明顯高於同業，也是比較有可能率先下調資本開支預期的公司。

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Net debt to equity ratio							
Google	-20%	-16%	-16%	-15%	-6%	-19%	-17%
Meta/FB	-11%	1%	3%	2%	2%	8%	11%
Amazon	18%	18%	16%	11%	19%	22%	29%
Microsoft	8%	5%	5%	9%	11%	12%	14%
Oracle	455%	466%	383%	344%	315%	315%	197%
SpaceXAI total					16%	-48%	-29%
Coreweave CRWV	346%	351%	435%	799%	691%	917%	
Nebius NBIS	-40%	-39%	-6%	28%	3%	19%	
Alibaba	-49%	-50%	-45%	-48%	-44%	-42%	
Tencent	2%	3%	-1%	-2%	-5%	1%	

Source: Bloomberg

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Subject: ECONOMIC WEEK AHEAD: November 2-6
Date: 3 hours ago

ECONOMIC WEEK AHEAD: November 2-6

YARDENI QUICKTAKES

ECONOMIC WEEK AHEAD: November 2-6

By Ed Yardeni & Toby Hearst • 31 Oct 2026

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Photo by Monica Sauro / Unsplash

Live Economic Calendar

November 2–6, 2026

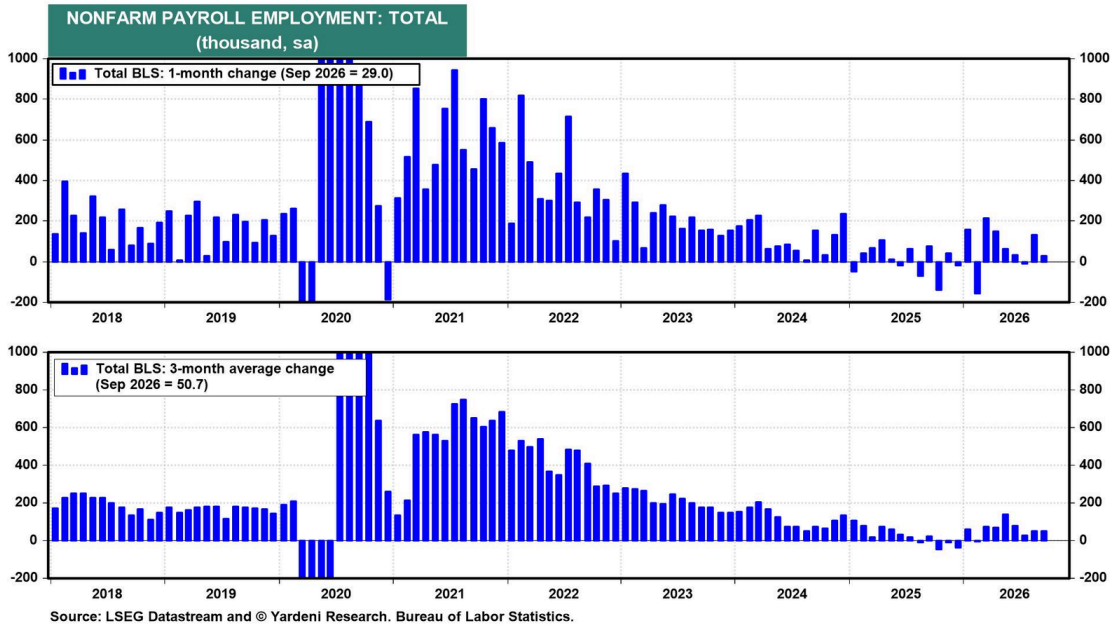
Monday	Tuesday	Wednesday	Thursday	Friday
2 • **Construction Expenditures** (Sep) • **ISM M-PMI** (Oct) • **Senior Loan Officer Survey** (Q4)	3 • **Factory Orders** (Sep) • **JOLTS** (Sep)	4 • **ADP Employment** (Oct) • **International Trade** (Sep) • **ISM NM-PMI** (Oct) • **Mortgage Applications** (10/30)	5 • **Challenger Employment** (Oct) • **Productivity & Costs** (Q3) • **Unemployment Claims** (10/31)	6 • **Consumer Credit** (Sep) • **Employment** (Oct)

The S&P 500 fell 0.6% last week, and the Nasdaq dropped 2.0%, both posting their third straight week of losses, as disappointing tech earnings revived concerns about AI-related spending.

The FOMC held the federal funds rate (FFR) at 3.75%-4.00% on Wednesday in a 10-2 vote, with the dissenters favoring a 25bps hike. We believe the committee needs another 50bps of increases to get back to a neutral FFR that is neither accommodative nor restrictive.

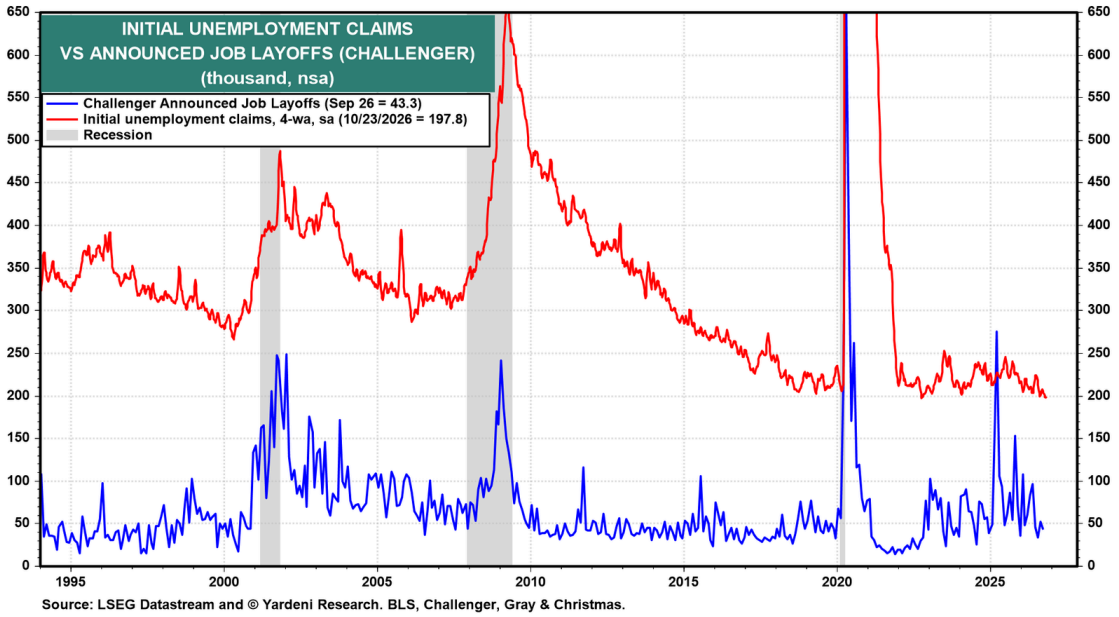
October's employment report (Fri) caps a jam-packed week of labor market data, including JOLTS (Tue), ADP (Wed), and Challenger and jobless claims (Thu). ISM's M-PMI (Mon) and NM-PMI (Wed) are also due. Six Fed officials are scheduled to speak. Tuesday's midterm elections should be interesting. Rate decisions from the Reserve Bank of Australia and the Bank of England and earnings reports from Apple, Palantir, AMD, and Qualcomm round out the week's calendar. Here's more:

(1) Employment. October's employment report is the economic headliner. Payrolls rose 29,000 in September, lowering the three-month average to 50,700 (chart). The unemployment rate rose to 4.2% from 4.1%, while average hourly earnings increased just 0.1% m/m. We expect a stronger payroll gain than the consensus, of approximately 55,000.

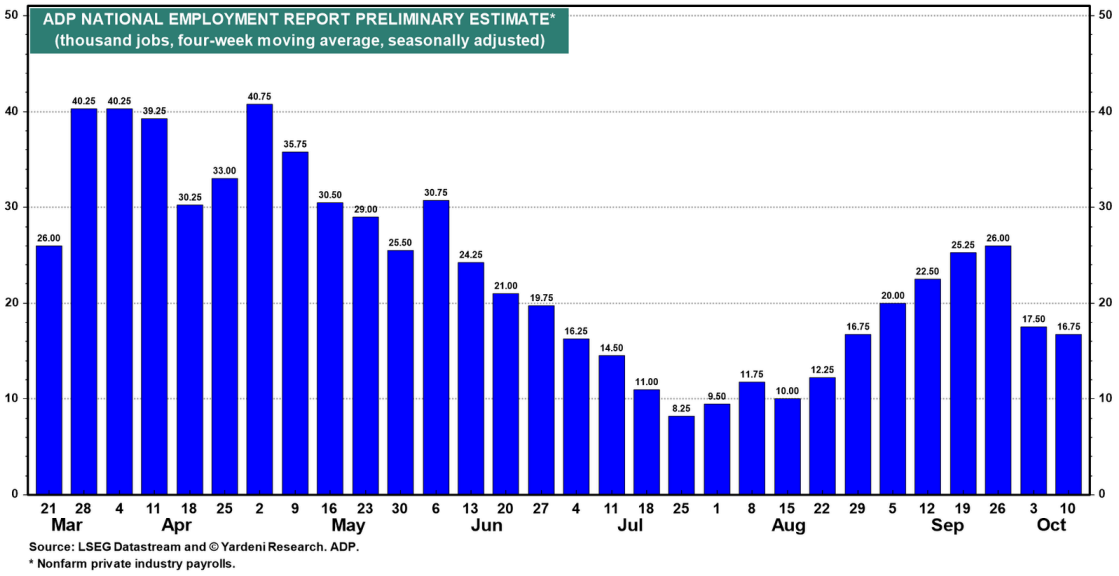


Challenger's October layoff announcements (Thu) follow September's count of 43,300. Technology led September's announced cuts, at 10,800. Initial unemployment claims (Thu) remain low, with a four-week average of

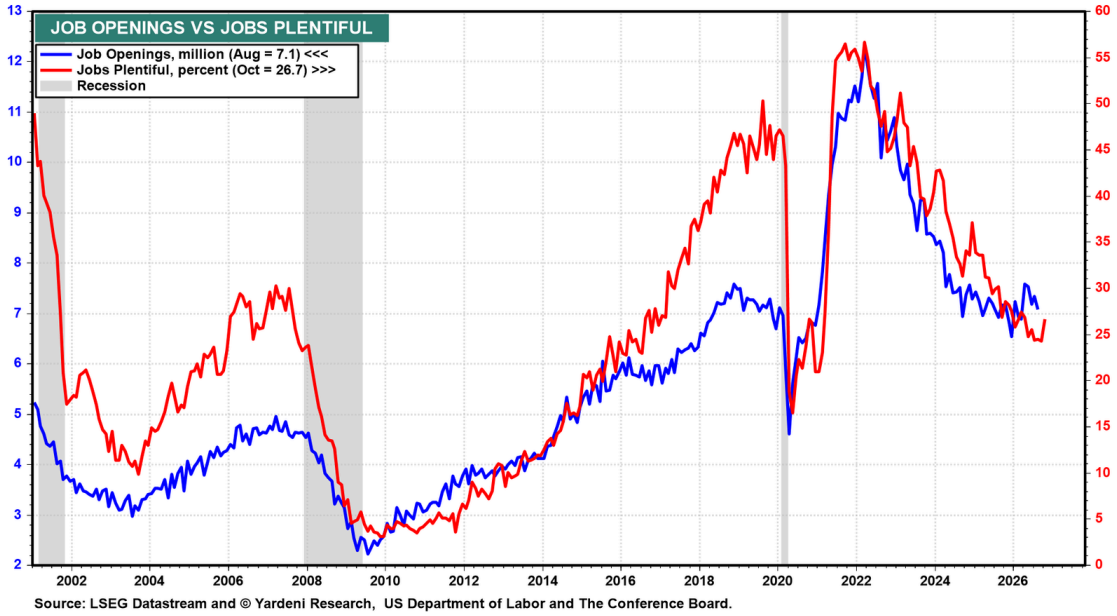
197,800 for the week ended October 24 (chart). We expect more of the same for both labor market indicators this week.



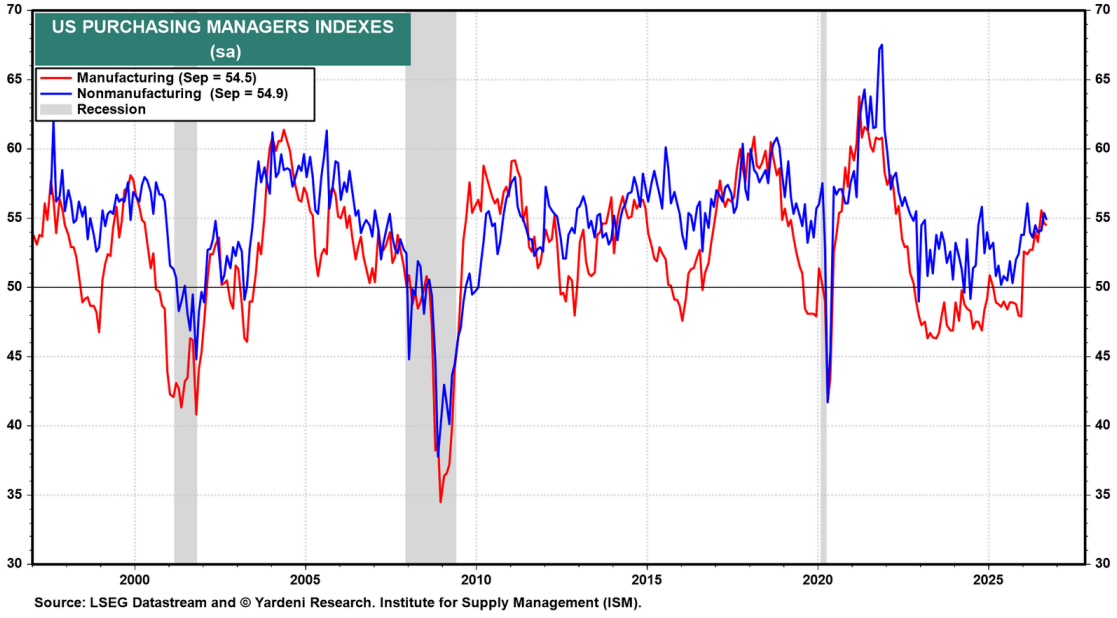
The four-week moving average of ADP's employment measure peaked at 26,000 in late September before easing to 16,750 in early October (chart). September's monthly ADP report showed a 90,000 gain in private payrolls, nearly double the Bureau of Labor Statistics' 46,000.



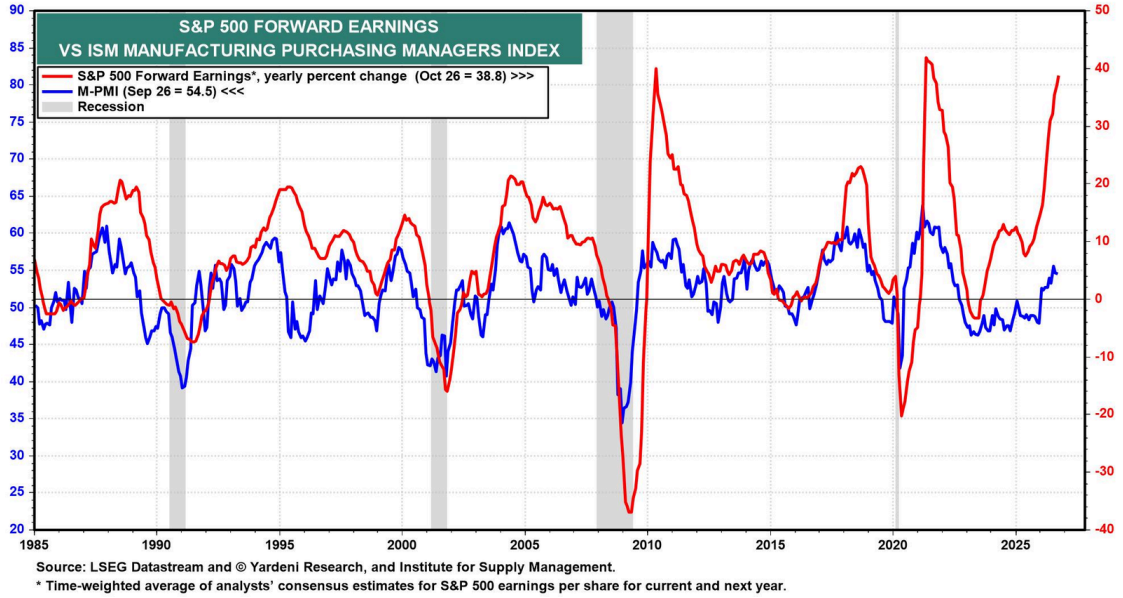
September's JOLTS report (Tue) follows August's 7.1 million job openings, down from 7.3 million in July. The share of consumers saying jobs are "plentiful" was 26.7% in October, little changed from 27.0% in August (chart).



(2) PMIs. ISM's M-PMI (Mon) follows September's 54.5 reading, with the prices-paid index at 77.9. The NM-PMI (Wed) was 54.9 (chart). S&P Global's flash M-PMI edged up to 56.0 in October from September's 55.9, a 53-month high, while the flash NM-PMI eased to 57.9 from 58.8. Both still point to solid ISM readings.

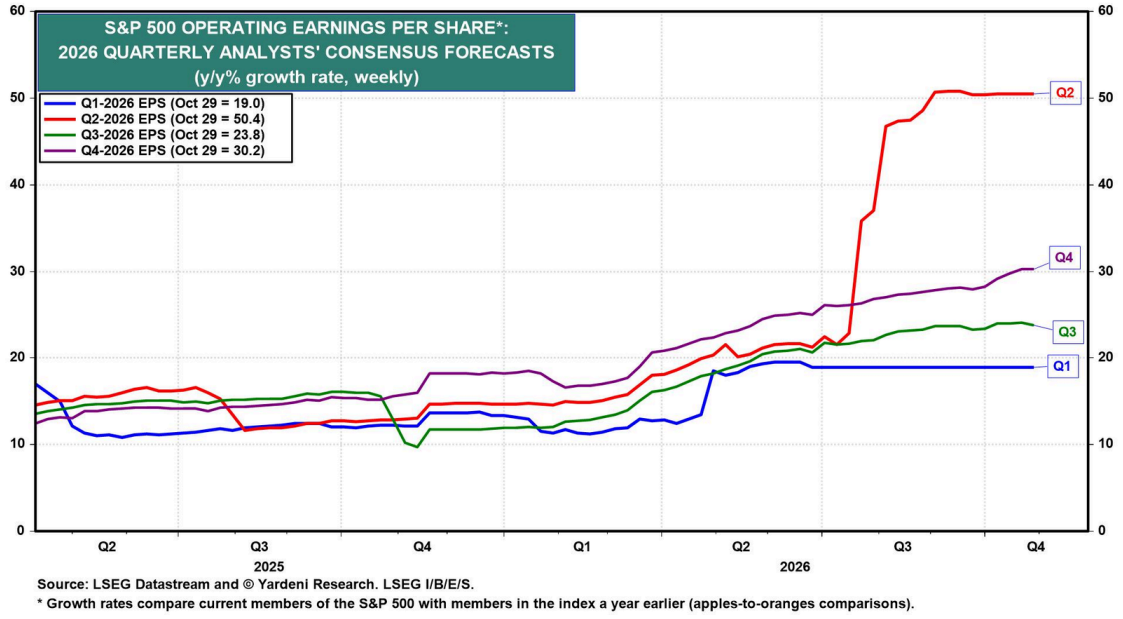


S&P 500 forward earnings rose 38.8% y/y as of October 26, up from 37.2% in September, suggesting more upside for the M-PMI (chart).



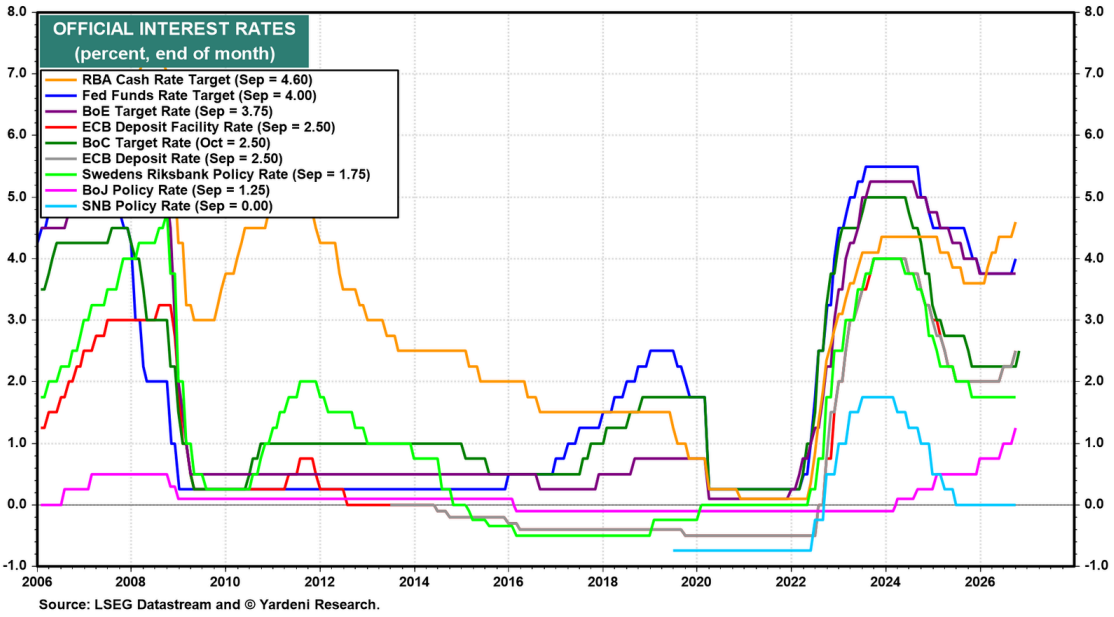
(3) Earnings. The earnings reporting season continues this week, with 31% of the S&P 500 companies set to report. Apple, Palantir, AMD, Arista Networks, Qualcomm, and Arm headline the list.

Analysts' consensus estimates imply Q3-2026 operating EPS growth for S&P 500 companies of 23.8% y/y, down slightly from 24.1% last week, after Alphabet, Amazon, and Intel missed estimates (chart). Q4 growth estimates held at 30.2%.

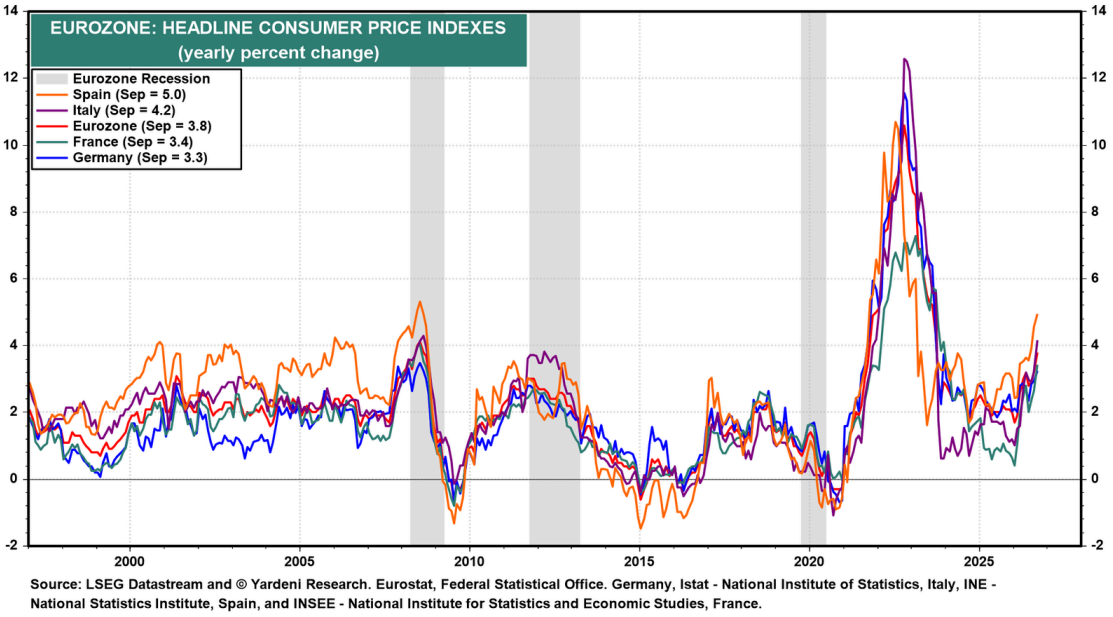


(4) Global. The Reserve Bank of Australia (Tue) is expected to hike its cash rate target by 25bps for a second straight meeting, to 4.85% from 4.60% (chart). The markets are pricing in 88% odds of that result, so it's no sure thing. Last week, the Reserve Bank of New Zealand held its official cash rate at 2.75% despite 95% odds of a hike. Both central banks are often seen as bellwethers for the global rate cycle.

The Bank of England (Thu) looks set to raise its rate by 25bps to 4.00%, with 98% odds priced into the markets. The markets see a 35% chance of another hike in December.



The Eurozone's flash CPI (Wed) is expected to rise in October from September's 3.8% y/y, with the core rate holding at 2.5%. Among the major economies, Spain's headline rate was the highest at 5.0% in September and Germany's the lowest at 3.3% (chart).



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US MARKET CALL: AI Spooking Investors

YARDENI QUICKTAKES

US MARKET CALL: AI Spooking Investors

By Ed Yardeni & Toby Hearst • 31 Oct 2026

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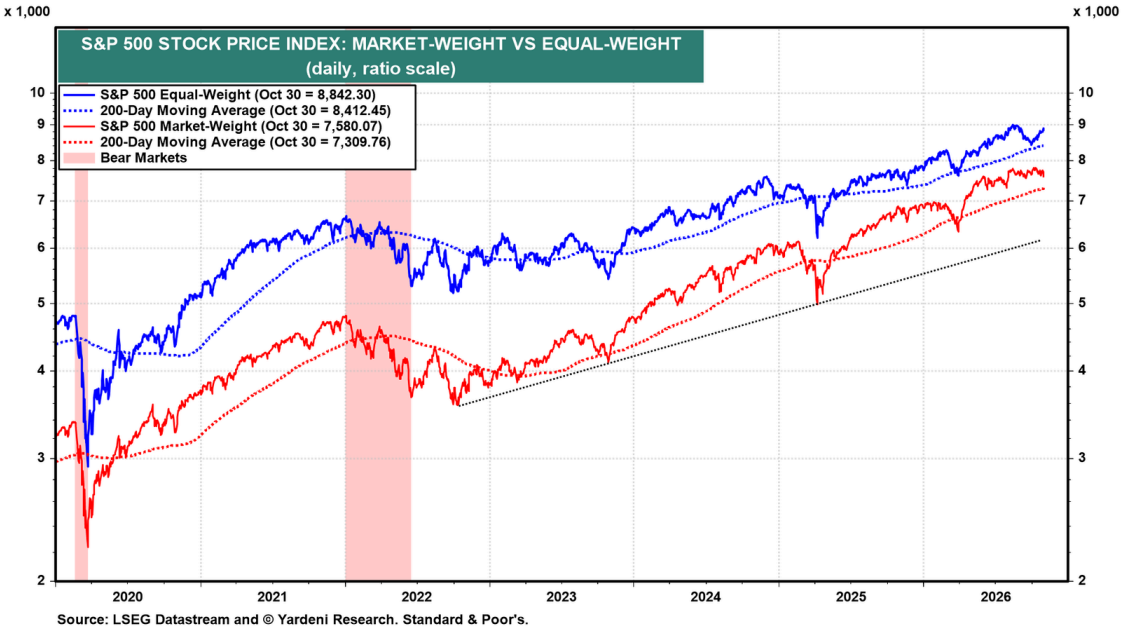
Photo by David Menidrey / Unsplash

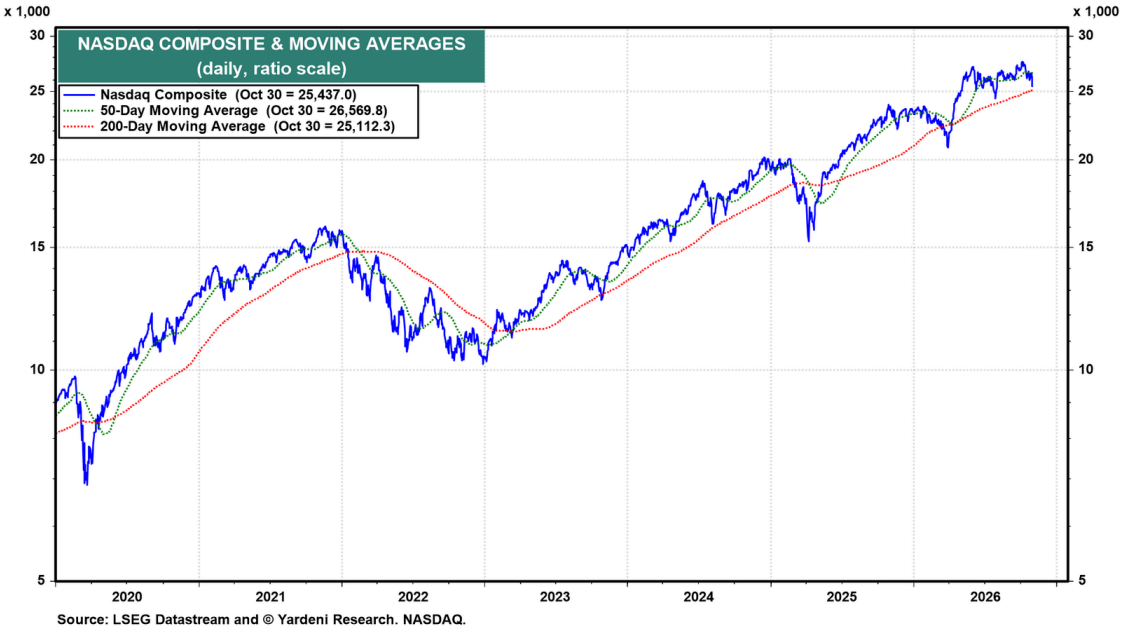
I. Stock Market Performance

Happy Halloween! Kids are enjoying the spooky cultural holiday today. The celebration evolved from ancient Celtic harvest festivals tied to All Hallows' Eve into the secular traditions of costumes, parties, and trick-or-treating that we know today.

Investors have been spooked about the AI trade since the S&P 500 peaked at a record high of 7818.93 on October 6 (chart). The index is down 3.1% since then. We can blame the big-cap AI-related stocks for that decline because the equal-weight S&P 500—which doesn't reflect those stocks' performance more than any other's—is up 4.9% since September 30. That's not very scary. Before that, the equal-weight index had fallen fell 6.5% from its record high on August 13 through September 30.

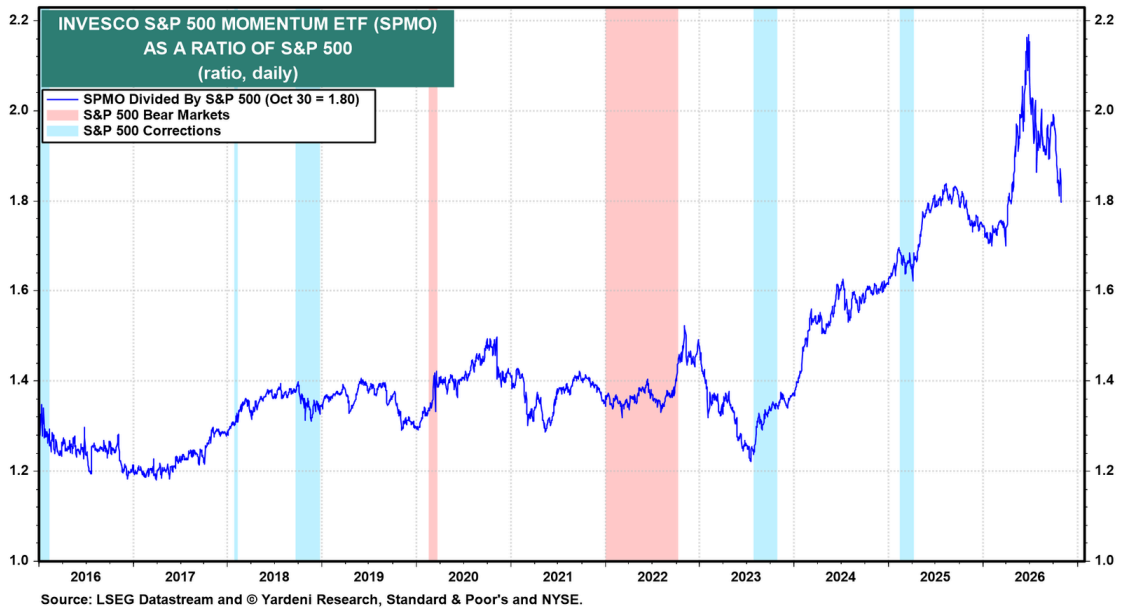


The Nasdaq is down 7.8% since it peaked at a record high on October 6 (chart). That's not a very frightful decline for this relatively volatile index.

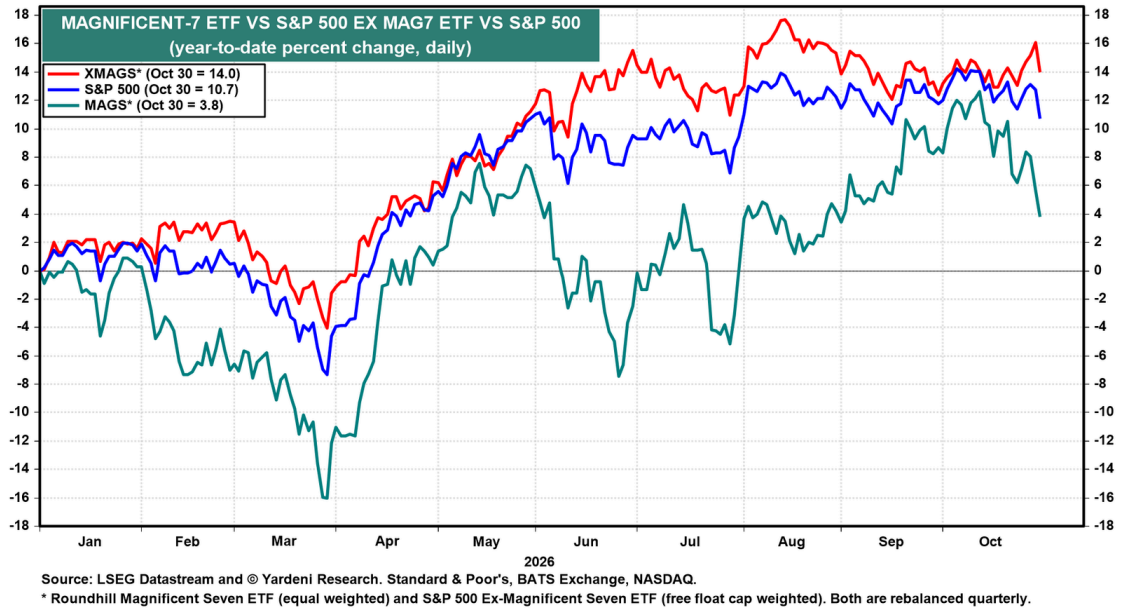


Somewhat more frightening has been the sharp drop in the momentum trade relative to the S&P 500 since June 25 (chart). The former is a proxy

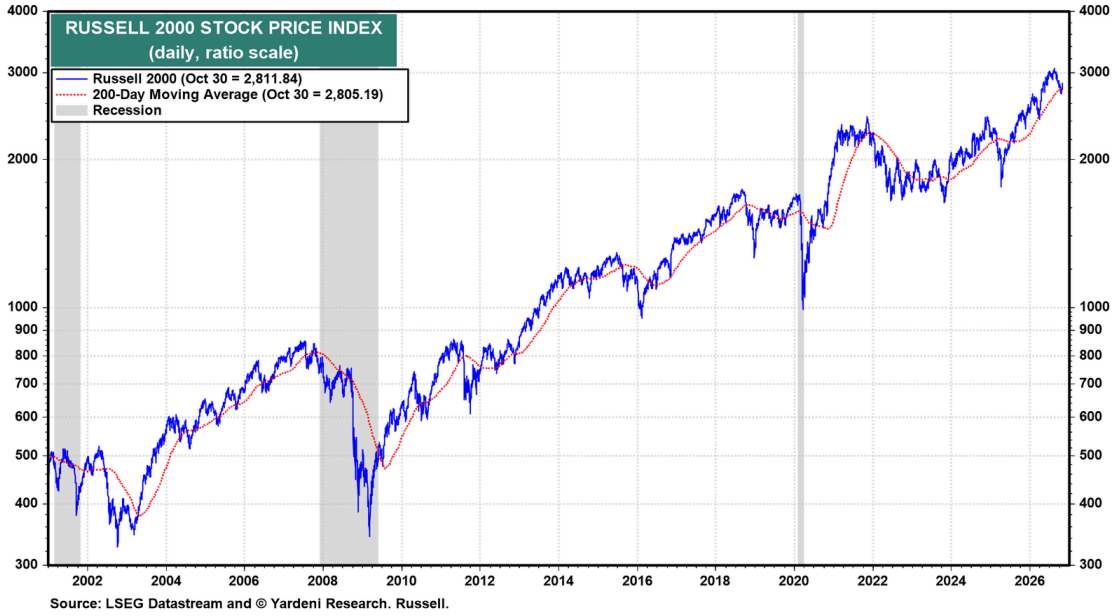
for the AI trade.



On a ytd basis, it has been mostly a walk past the graveyard for most stock investors. For many, it has been a walk in the park. The S&P 500 is up 10.7% since the end of 2025, with the XMAGS up 14.0%, while the MAGS has lagged with a 3.8% gain so far this year (chart). So, despite the frightening warnings about concentration of leadership, the S&P 500's rally has broadened beyond the Magnificent-7.

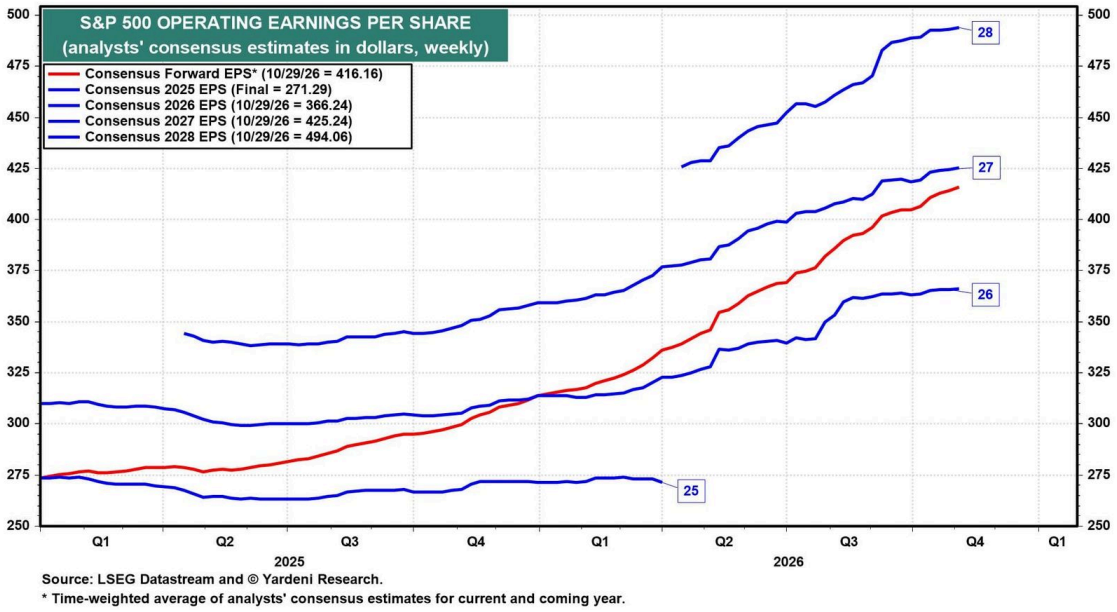


Furthermore, the Russell 2000 has been on an uptrend since early 2025, rising to a record high on August 14 (chart). It dropped 3.2% since then through October 16, mostly on a scare from the bond market, which seems to be over.

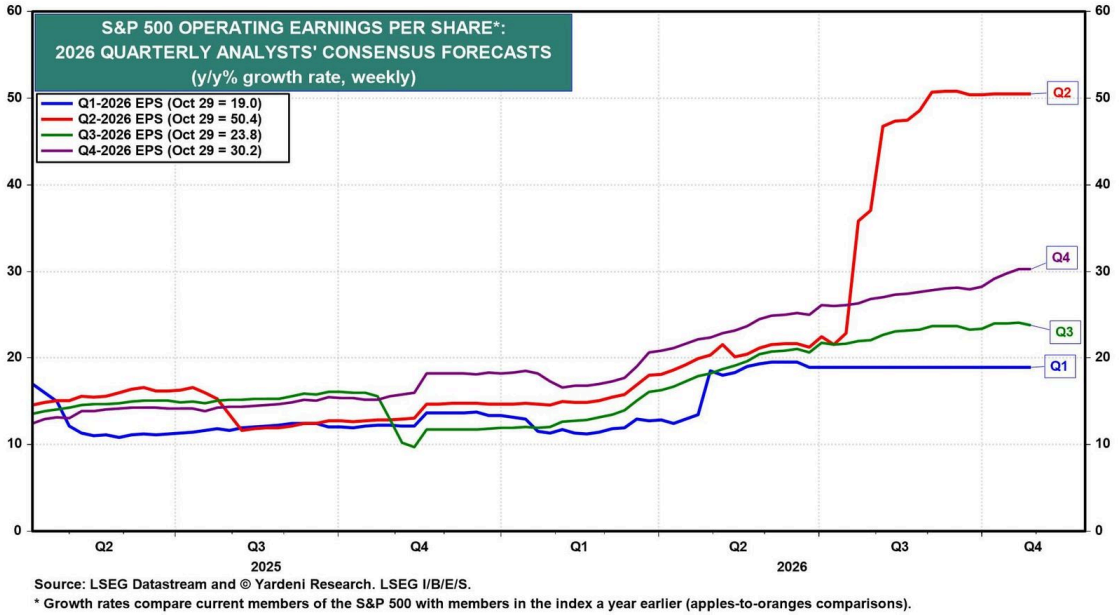


II. Stock Market Earnings

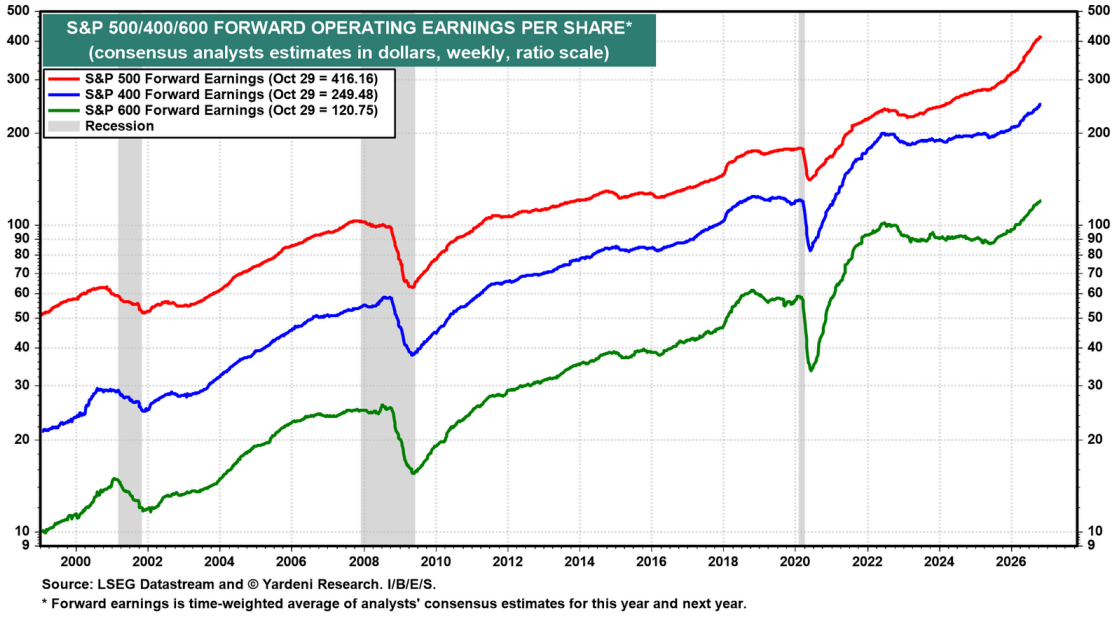
Meanwhile, industry analysts' consensus earnings expectations for the S&P 500 show nothing to fear but fear itself. The real concern is that they are not only fearless but also too optimistic. They currently expect that EPS will increase 16.1% next year to $425 and 16.2% in 2028 to $494 (chart).



Occasionally, reality bites, and last week's Q3 earnings misses by Alphabet and Intel modestly reduced the quarter's expected EPS growth rate to 23.8%, but Q4's estimate remained exceptionally strong at 30.2% (chart).



Forward earnings for the S&P 500, S&P 400, and S&P 600 all rose to record highs again last week (chart).

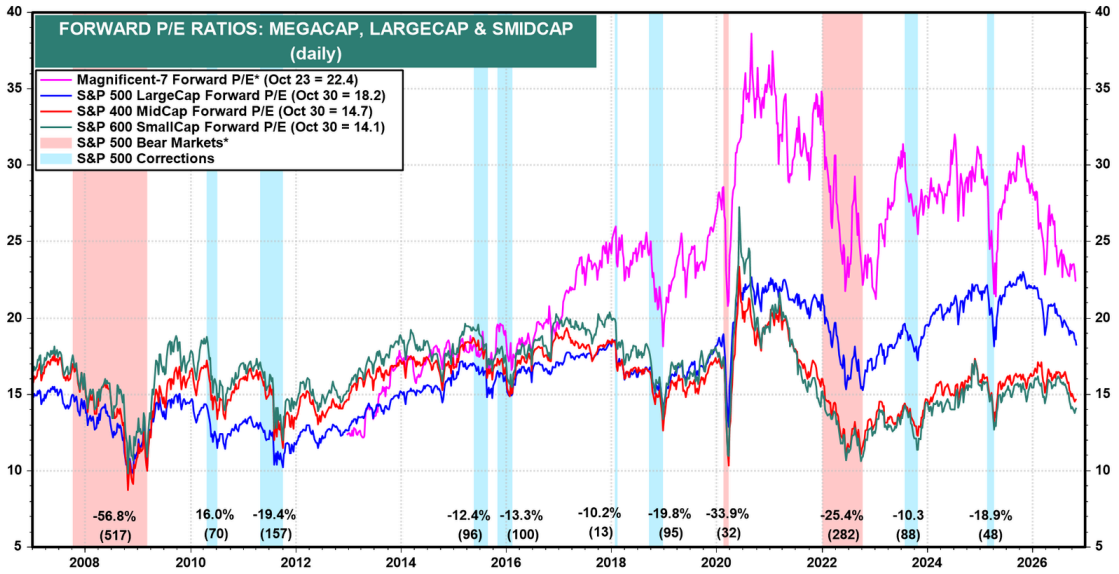


III. Valuation

Investors do seem to be fretting that industry analysts' earnings outlooks reflect irrational exuberance. As a result, the S&P 500 forward P/E is down to 18.2, its lowest reading since the April 2025 Liberation Day low (chart). Forward earnings is up 49.1% since then! (The stock market rally since then is all attributable to fabulous earnings momentum, or FEMO, because FOMO, or the fear of losing out that drives up the "P" of "P/E," isn't a factor.)

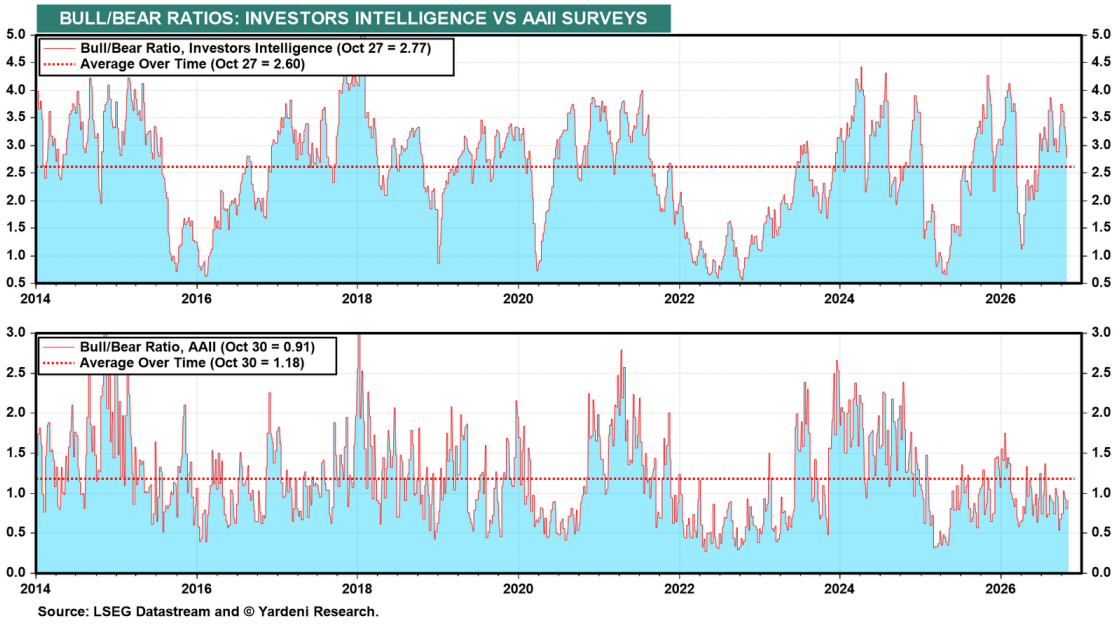
We still counsel investors to proceed with caution in the coming days. Let's see how the midterm elections play out on November 3 and whether

the war in the Middle East heats up again soon after. Now that the FOMC blackout period is over, Fed officials are likely to signal a bigger rate hike in December than expected, say 50bps rather than 25bps. AI jitters are likely to continue after Halloween. Nevertheless, we are sticking with our 7,900 year-end target for the S&P 500. Santa is coming.



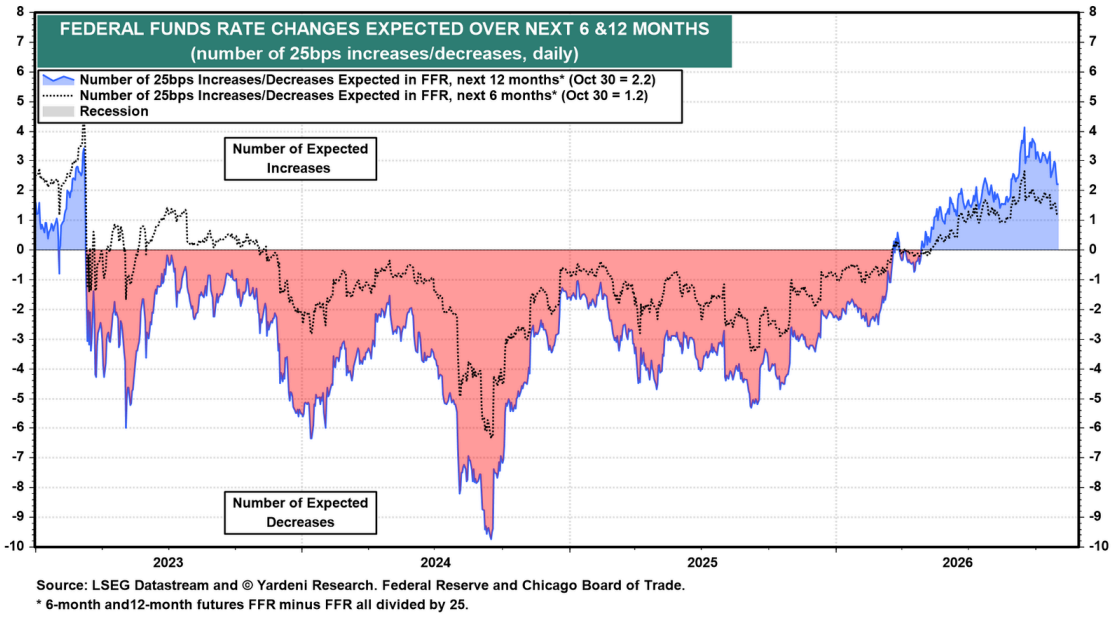
IV. Sentiment

Odds are that Friday's drop in the S&P 500 weighed on the bull/bear ratios (BBR) we track (chart). We hope so. From a contrarian perspective, bearish BBR readings are bullish.



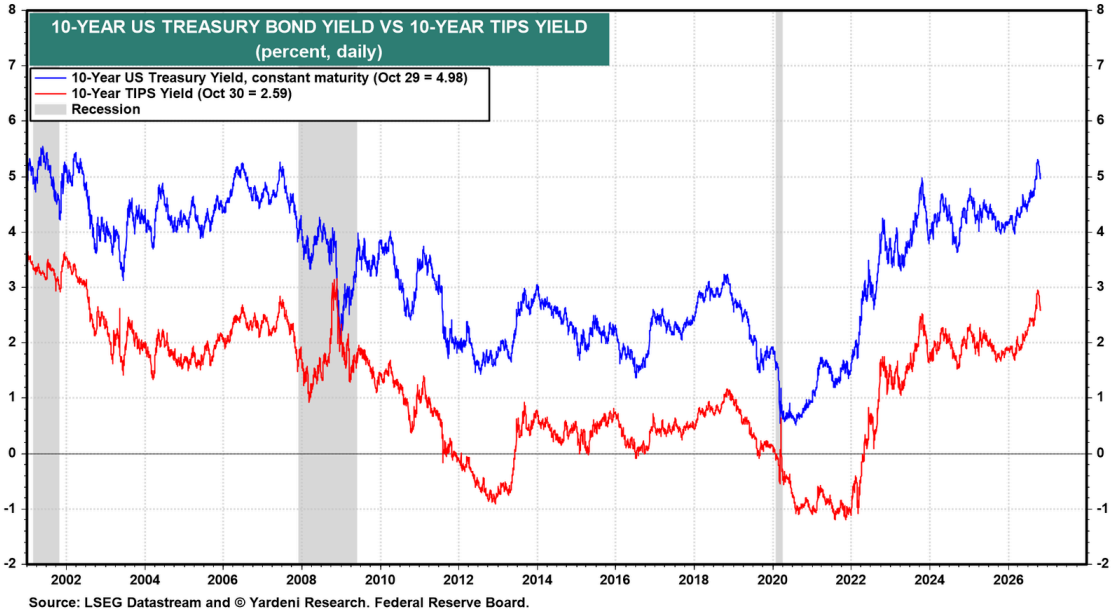
V. Credit

Alphabet and Intel stock prices dropped sharply after they reported weaker-than-expected earnings last week. As a result, investors pulled back from the AI trade on mounting fears that the AI infrastructure buildout is at risk of a significant slowdown. That notion spread to fixed-income securities. In recent weeks, the federal funds futures market's forecast of the number of Fed rate cuts over the next 12 months fell from three or more to two (chart).



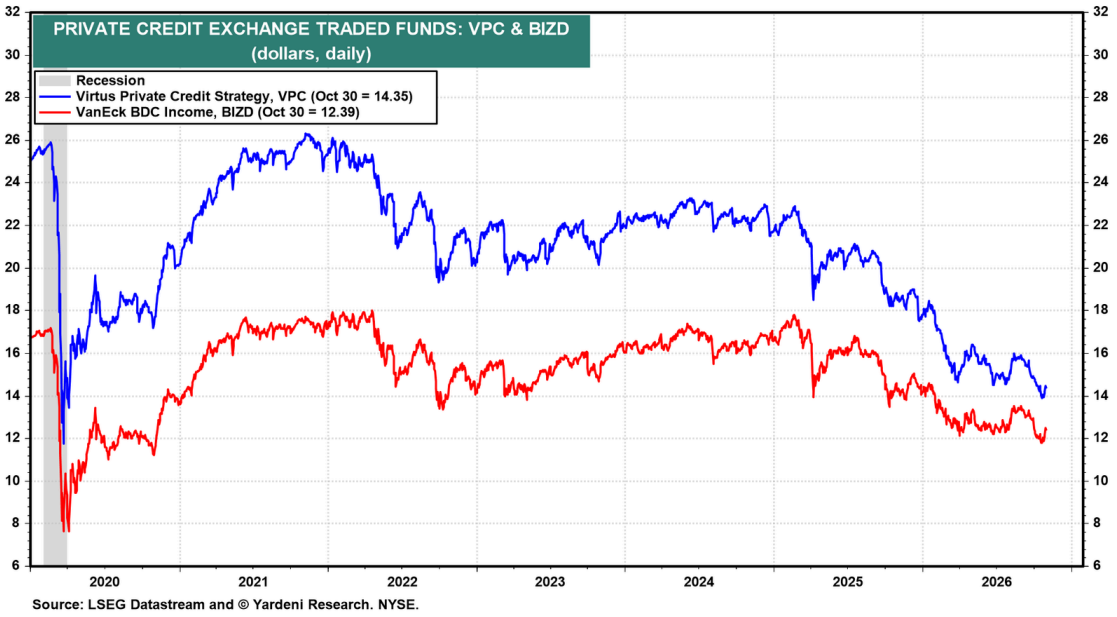
Source: LSEG Datastream and © Yardeni Research. Federal Reserve and Chicago Board of Trade.
* 6-month and12-month futures FFR minus FFR all divided by 25.

The 10-year Treasury bond yield dropped by more than 30bps this month, led by a similar drop in the comparable TIPS yield (chart). We think that the 10-year yield might remain around 5.00% through the end of this year and for most of next year.



Source: LSEG Datastream and © Yardeni Research. Federal Reserve Board.

While credit-quality spreads have widened for AI-related bonds, the private credit market remains relatively calm (chart).



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